

Alternatively, the company might acquire rights to a proprietary patent or might have just hired a star sales manager or new CEO. All the preceding, as well as their less dramatic parallels in day-to-day operations, can yield stock price changes and volatility entirely independent of the broader market.

Back to my main point here: An essential difference exists between market risk and individual security risk. Market risk cannot be erased by diversification; unique firm-specific risk can. That's because the source of market risk changes in the overall economy. Although a single firm might face a catastrophic event on a single day, it is far less likely that a number of firms will face similar catastrophes on the same day. Hence, the importance of unique risk diminishes as the number of firms in the portfolio increases.

A fundamental axiom of modern financial economic theory is that investors are only rewarded for risks that cannot be diversified away. Individual security risk can be virtually eliminated by holding other stocks in the same industry or sector; general market risk cannot be eliminated by holding more stocks of the same or any industry or sector.

Here's an analogy a student of mine once used to explain this back to me after one of my classes on investment theory. It might sound odd at first, but it makes the point.

One of the more dangerous competitions athletes can participate in is NASCAR auto racing. Clearly, a NASCAR driver with an opportunity to participate in one of the frequent races will evaluate whether the danger associated with racing around a track at 200 miles an hour is offset by the many benefits, including the potential for lucrative endorsements if he or she wins one of the races. Indeed, one can treat the expected value of these benefits as the reward for taking on the risk associated with participating in the NASCAR race. As I said many times, risk and reward are linked.

Now, suppose that a driver has agreed to participate in the Indy 500, for example, but, for whatever reason, has also decided to forgo all the protective gear typically used by drivers, such as protective helmets and clothing manufactured from inflammable materials. Clearly, this driver would be increasing his or her personal risk greatly (and might be prohibited from doing so by the official organizers).